CURRENT PILOT BUSINESS PLAN

# A measured first center, built to earn the right to expand.

One owned location in Independence, Missouri | 40 children ages 2–5 | 12 months | first-month checkpoint




Futures Friends joins Booker, Lumi, Zuri and Bop to early literacy, movement, nutrition, belonging and family routines. This pilot reuses the website, CRM, ATS, store, characters and learning materials while finishing the secure family and child workflows required for one real center.

**Decision posture:** This is an itemized cost estimate, not a financeable loan recommendation. Historical $910/month tuition does not cover the modeled recurring cost. Building payment, lender terms, actual liability and past creator compensation are unresolved.

# 1. The investment case

The pilot is designed to answer operational questions with real families and real cash records before national rollout. Expansion is a Phase 2 decision, not part of this ask.

| $423,849.52 | $646,074.62 | $477,066.02 | -$57,738.02 |
|---|---|---|---|
| COST ESTIMATE BEFORE FINANCING | YEAR 1 WITH CONTINGENCY | ANNUAL RECURRING | YEAR 2 MARGIN AT $910 |

| Decision item | Current model | What must be verified |
|---|---|---|
| Center | Owned Independence, MO; ages 2–5; 40-place ceiling | Licensed capacity, rooms, age mix and open hours |
| Funding | Cost estimate before financing $423,849.52 | Do not call this a loan ask until economics are positive |
| Building | Owner-specified $140,000 refinance-enabling need | Payoff statement, closing costs, points and new payment |
| Revenue | Historical $910/month; 96% collection | Signed tuition, discounts, demand and actual collections |
| Debt | Cash after recurring operations and building payment | Lender offer, coverage, collateral and guarantees |

At 40 children on the historical price, annual receipts are $419,328.00 and year-two operating margin is -$57,738.02 before the building payment. The model therefore surfaces a required pricing or cost reset instead of presenting borrowed cash as profit.

# 2. Staffing and coverage

The roster has two full-time adults. The rest are individually costed part-time shifts, relief, food service and substitutes. The names are a planning roster; they are not twelve simultaneous hires.

| Person | Hours/year | Rate | Annual wages | Shift / role |
|---|---|---|---|---|
| Full-time director | 2,080 | $24.00 | $49,920.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Full-time teacher 1 | 2,080 | $20.00 | $41,600.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Part-time teacher 2 — 7am–noon | 1,300 | $20.00 | $26,000.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Part-time teacher 3 — 7am–noon | 1,300 | $20.00 | $26,000.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Part-time teacher 4 — noon–5pm | 1,300 | $20.00 | $26,000.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Part-time teacher 5 — noon–5pm | 1,300 | $20.00 | $26,000.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Part-time teacher 6 — 3pm–5pm | 520 | $20.00 | $10,400.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Part-time teacher 7 — 3pm–5pm | 520 | $20.00 | $10,400.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Part-time break/admin floater | 1,040 | $20.00 | $20,800.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Part-time food worker | 1,040 | $19.00 | $19,760.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Substitute 1 | 320 | $20.00 | $6,400.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |
| Substitute 2 | 320 | $20.00 | $6,400.00 | Total planning roster, not all new hires. 52 paid weeks include closure/training allowance; actual roster and |

Total planning wages: $269,680.00. The assumed schedule keeps four adults on the floor, subject to the approved age mix and room rules. If the actual mix requires a fifth adult, the register adds at least 2,500 service hours at $20/hour before relief, taxes and insurance. The food worker does not count while preparing food; the director counts only while assigned to the room.

Employer taxes, workers compensation, optional benefits, background checks, CPR and training are separate line items. No blanket unemployment reserve is hidden in the model.

# 3. Cash, enrollment and repayment

The first-year cash schedule ramps enrollment from 30 to 40 children. One-time launch spending is weighted toward the first month; the schedule shows when cash is needed rather than treating the full annual total as a monthly payment.

| Month | Children | Receipts | Recurring | One-time | Net | Cumulative |
|---|---|---|---|---|---|---|
| 1 | 30 | $26,208.00 | $38,904.69 | $66,133.80 | -$78,830.49 | -$78,830.49 |
| 2 | 34 | $29,702.40 | $39,245.01 | $36,741.00 | -$46,283.61 | -$125,114.10 |
| 3 | 36 | $31,449.60 | $39,415.18 | $22,044.60 | -$30,010.18 | -$155,124.28 |
| 4 | 38 | $33,196.80 | $39,585.34 | $14,696.40 | -$21,084.94 | -$176,209.22 |
| 5 | 40 | $34,944.00 | $39,755.50 | $7,348.20 | -$12,159.70 | -$188,368.92 |
| 6 | 40 | $34,944.00 | $39,755.50 | $0.00 | -$4,811.50 | -$193,180.42 |
| 7 | 40 | $34,944.00 | $39,755.50 | $0.00 | -$4,811.50 | -$197,991.92 |
| 8 | 40 | $34,944.00 | $39,755.50 | $0.00 | -$4,811.50 | -$202,803.42 |
| 9 | 40 | $34,944.00 | $39,755.50 | $0.00 | -$4,811.50 | -$207,614.92 |
| 10 | 40 | $34,944.00 | $39,755.50 | $0.00 | -$4,811.50 | -$212,426.42 |
| 11 | 40 | $34,944.00 | $39,755.50 | $0.00 | -$4,811.50 | -$217,237.92 |
| 12 | 40 | $34,944.00 | $39,755.50 | $0.00 | -$4,811.50 | -$222,049.42 |

**Repayment rule:** monthly debt service is considered only after recurring operations and the actual building payment. A 1.25 coverage screen is a planning test, not a lender promise. The present case has no positive debt capacity because the mortgage is unknown and operating margin is negative.

Break-even realized tuition: $1,036.37 per child per month before building/debt. This does not prove a profitable enrollment count; tuition, costs, licensed capacity and demand still require verification.

# 4. Every priced category

Each row in the digital register carries an item, quantity, rate, formula, bucket, evidence basis and source URL where one exists. Published prices, tax formulas and quote-required allowances remain distinguished.

| Category | Annual total | Register evidence |
|---|---|---|
| Staff wages | $269,680.00 | Itemized rows in CSV / JSON |
| Platform completion | $57,000.00 | Itemized rows in CSV / JSON |
| Curriculum and clinical review | $38,600.00 | Itemized rows in CSV / JSON |
| Food and nutrition | $37,688.00 | Itemized rows in CSV / JSON |
| Building operations | $32,720.00 | Itemized rows in CSV / JSON |
| Pilot content production | $25,740.00 | Itemized rows in CSV / JSON |
| Platform assurance | $24,000.00 | Itemized rows in CSV / JSON |
| Employer taxes | $23,569.84 | Itemized rows in CSV / JSON |
| Pilot content support | $14,400.00 | Itemized rows in CSV / JSON |
| Insurance | $12,700.00 | Itemized rows in CSV / JSON |
| Administration | $11,400.00 | Itemized rows in CSV / JSON |
| Local marketing | $11,400.00 | Itemized rows in CSV / JSON |
| Platform support | $10,800.00 | Itemized rows in CSV / JSON |
| Staff benefits | $9,945.60 | Itemized rows in CSV / JSON |
| Refinance transaction | $6,400.00 | Itemized rows in CSV / JSON |
| Payments | $5,919.04 | Itemized rows in CSV / JSON |
| Staff insurance | $5,393.60 | Itemized rows in CSV / JSON |
| Staff readiness | $4,620.00 | Itemized rows in CSV / JSON |
| Cleaning and consumables | $4,548.00 | Itemized rows in CSV / JSON |
| Safety and equipment | $4,220.00 | Itemized rows in CSV / JSON |
| Hosting and software | $4,052.20 | Itemized rows in CSV / JSON |
| Classroom and office consumables | $3,199.74 | Itemized rows in CSV / JSON |
| Classroom materials | $2,904.00 | Itemized rows in CSV / JSON |
| Pilot devices | $2,580.00 | Itemized rows in CSV / JSON |
| Store pilot | $550.00 | Itemized rows in CSV / JSON |

The complete 311-line register is available at Pilot_40_Children_Itemized.csv and the digital cost explorer. The PDF is a decision brief; the register is the audit trail.

# 5. Platform, curriculum and production

The pilot funds completion and assurance of a bounded product surface: parent and child access, learning records, consent, role isolation, billing, recovery, bilingual review, QR routines and a finite approved character-message library.

| Workstream | Allowance | Acceptance evidence |
|---|---|---|
| Platform completion | 380 hours × $150 = $57,000 | Persistent records, role isolation, billing and parent digest |
| Security and assurance | $24,000 | Manual test, retest, private uploads, restore and iPad checks |
| Support | $10,800 | Named owner, response targets and escalation path |
| Curriculum / clinical review | $38,600 | Educator, RN and menu-review evidence |
| Pilot content | $25,740 + support | Finite cap; accepted-minute yield tracked |
| Local marketing | $11,400 | Tour-to-enrollment and retention measurement |

The $3,000 generation allowance is a finite pilot-library cap. It is not a full 12-episode, seven-minute season. National production, bulk family tablets and licensing income are Phase 2 and excluded from this pilot budget.

# 6. Sensitivity and the economic reset

Price and occupancy must be tested together. These are scenario calculations, not market tuition claims and not signed demand.

| Children | Tuition / month | Annual receipts | Operating margin* |
|---|---|---|---|
| 30 | $910.00 | $314,496.00 | -$152,360.26 |
| 35 | $910.00 | $366,912.00 | -$105,049.13 |
| 40 | $910.00 | $419,328.00 | -$57,738.01 |
| 30 | $1,250.00 | $432,000.00 | -$35,849.16 |
| 35 | $1,250.00 | $504,000.00 | $30,880.47 |
| 40 | $1,250.00 | $576,000.00 | $97,610.11 |
| 30 | $1,300.00 | $449,280.00 | -$18,715.18 |
| 35 | $1,300.00 | $524,160.00 | $50,870.12 |
| 40 | $1,300.00 | $599,040.00 | $120,455.42 |
| 30 | $1,400.00 | $483,840.00 | $15,552.79 |
| 35 | $1,400.00 | $564,480.00 | $90,849.42 |
| 40 | $1,400.00 | $645,120.00 | $166,146.04 |

*Before building payment, investor debt and profit tax. A positive scenario is not a financing commitment. The current historical $910 case remains negative at 40 children. A lender-ready plan needs signed pricing, verified costs and a positive recurring margin with coverage after building payments.

Stress case with no tuition receipts: $825,830.12 before mortgage and financing. This is a planning boundary, not a recommended raise.

# 7. Gates, evidence and blind spots

Funding should release against evidence. Each gate converts a claim into something an investor can inspect.

| Gate | Evidence required before release |
|---|---|
| Scope | Signed age roster, room capacity, hours, current staff and payroll |
| Revenue | Signed tuition schedule, discounts, enrollment demand and collection history |
| Building | $140,000 purpose, lender payoff/payment statement, points and closing terms |
| Product | Working family/child records, consent, billing, role isolation, private files and restore |
| Safety | Educator and clinical review, approved content, state-required training and insurance |
| Security | Independent manual test, retest letter, backup/restore and iPad/browser checks |
| Economics | Three months actual receipts and costs; positive ongoing cash before debt service |
| Rights | Creator contracts, deliverables, payments and character/video rights reconciled |

Known exclusions and unknowns: mortgage payment, lender fees, past creator fees, actual food/utility/insurance quotes, current tax treatment, signed tuition, state approval/accreditation, national expansion receipts and season production. They are excluded or labeled unknown; they are not silently zero.

# 8. Source and review notes

This current pilot package is intentionally narrower than the historical expanded plan. It preserves the substantive operating direction while aligning the financial story to one center and the user-approved staffing structure.

| Evidence area | Reference |
|---|---|
| Child-care ratios | Missouri 5 CSR 25-500 rules: https://www.sos.mo.gov/CMSImages/AdRules/csr/current/5csr/5c25-500.pdf |
| Local wage benchmark | O*NET Missouri preschool teachers: https://www.onetonline.org/link/localwages/25-2011.00?st=MO |
| Payroll formulas | IRS Publication 15: https://www.irs.gov/publications/p15 |
| Missouri unemployment | Missouri Department of Labor: https://labor.mo.gov/des/employers/tax-rates |
| Digital cost evidence | https://dvolcore.github.io/futures-friends/investor/Digital/cost-explorer.html |
| Complete line items | https://dvolcore.github.io/futures-friends/investor/costs/Pilot_40_Children_Itemized.csv |

Prepared from the current pilot-budget.json and current pilot business-plan markdown. Amounts are planning estimates until replaced by signed statements, quotes or invoices. This document does not offer securities, guarantee returns or represent lender approval.